



UDAAN - NATIONAL LEVEL CASE COMPETITION

VALUING THE FUTURE: THE IPO DILEMMA AT BHARATPAY INFRASTRUCTURE ▶▶



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PROBLEM DIAGNOSIS & BREAKDOWN

CORE THESIS

BharatPay is operationally strong but **financially constrained**. The business model is scalable but the **capital structure limits the value creation**. The question is whether BharatPay can sustainably grow without damaging its capital base.

PRE - IPO METRICS

HEAD	MEASURE
ROIC	13%
WACC	12%
ROIC - WACC Spread	1%

This implies the company is barely generating profit above its cost:

- It leaves **low buffer** for shocks.
- Makes it **riskier** to grow as it is funded via leverage.
- Hinders the **valuation multiple**.

OPERATING STRENGTH

HEAD	MEASURE
Revenue	₹5480 Cr
EBITDA	₹1640 Cr
Net Profit	₹620 Cr
Revenue Growth	26% YoY
Projected Revenue	CAGR: 18-22%

HIGH OPERATING LEVERAGE

STRONG SCALE
ECONOMICS

STRUCTURALLY GROWING
INDUSTRY

STRUCTURAL ISSUE

HEAD	MEASURE
Net Debt	₹3,750 Cr
Debt/EBITDA	3X
CAPEX Requirement	₹6,000 Cr(3 yrs)
Average Interest	9.6%
Annual Interest expense	3.74x

- Although **leverage** is manageable, it is not **comfortable**
- Balance sheet has limited **flexibility**
- Growth is being funded with **high risk debt**

THE STRESS TEST

If funded via **debt**:

DEBT/EBITDA → 4.5X

A - → B+

COST OF DEBT +150 BPS

ADDITIONAL INTEREST BURDEN OF
₹120 - 150 CR

This creates a **capital spiral**.
More debt → higher interest → lower coverage → downgrade risk → higher borrowing cost → lower valuation

THE DIAGNOSIS

BharatPay's core issue is not:

- Demand for the prouct
- The profitability (margin profile)
- Market Opportunity



The core issue actually is:

- High leverage in comparison to expansion
- Interest drags lowering returns on equity
- Minimal financial flexibility

THE VALUATION UNLOCK

CORE INSIGHT

The IPO is not a growth story but rather a capital structure optimization that mechanically increases firm value, even before incremental growth is considered.

LOW
CAPITAL
COST

UNLOCKS
VALUATION

INCREASE
PROFITS

PRE - IPO COST OF CAPITAL

CAPITAL STRUCTURE INSIGHTS

- High leverage inflates equity risk
- Debt overhang increases refinancing and downgrade risk



- Risk free rate: 7.2%
- Equity risk premium: 5.0%
- Levered beta: 1.10

THE PRE - IPO ASSUMPTIONS

IMPLIED COSTS

- Cost of equity = 12.7%
- After tax cost of debt = 7.0%



- At this level, ROIC barely exceeds WACC, resulting in minimal economic value creation

PRE - IPO WACC = 12.0%

IPO AS A STRUCTURAL DE - LEVERAGING EVENT

IPO Use of Proceeds

Total raise: ₹8000 Cr
Debt repayment: ₹4900 Cr
Net debt effectively eliminated

Immediate Impact

Interest burden removed
Credit profile strengthened
Equity volatility declines

Capital structure

optimization alone justifies a meaningful re - rating and the IPO creates value.

FOOTBALL FIELD RANGE

DCF (Base Camp)	₹33000 Cr
Public comps (18x EBITDA)	₹29500 Cr
Strategic upside (22x EBITDA)	₹36000 Cr

POST - IPO WACC COMPRESSION

POST - IPO ASSUMPTIONS

- Lower leverage → beta declines to 0.95
- Cost of equity falls to 11.95%
- Debt weight negligible
- Post-IPO WACC = 11.2%
- Result: 80 bps WACC compression

IMPACT OF LOWER WACC

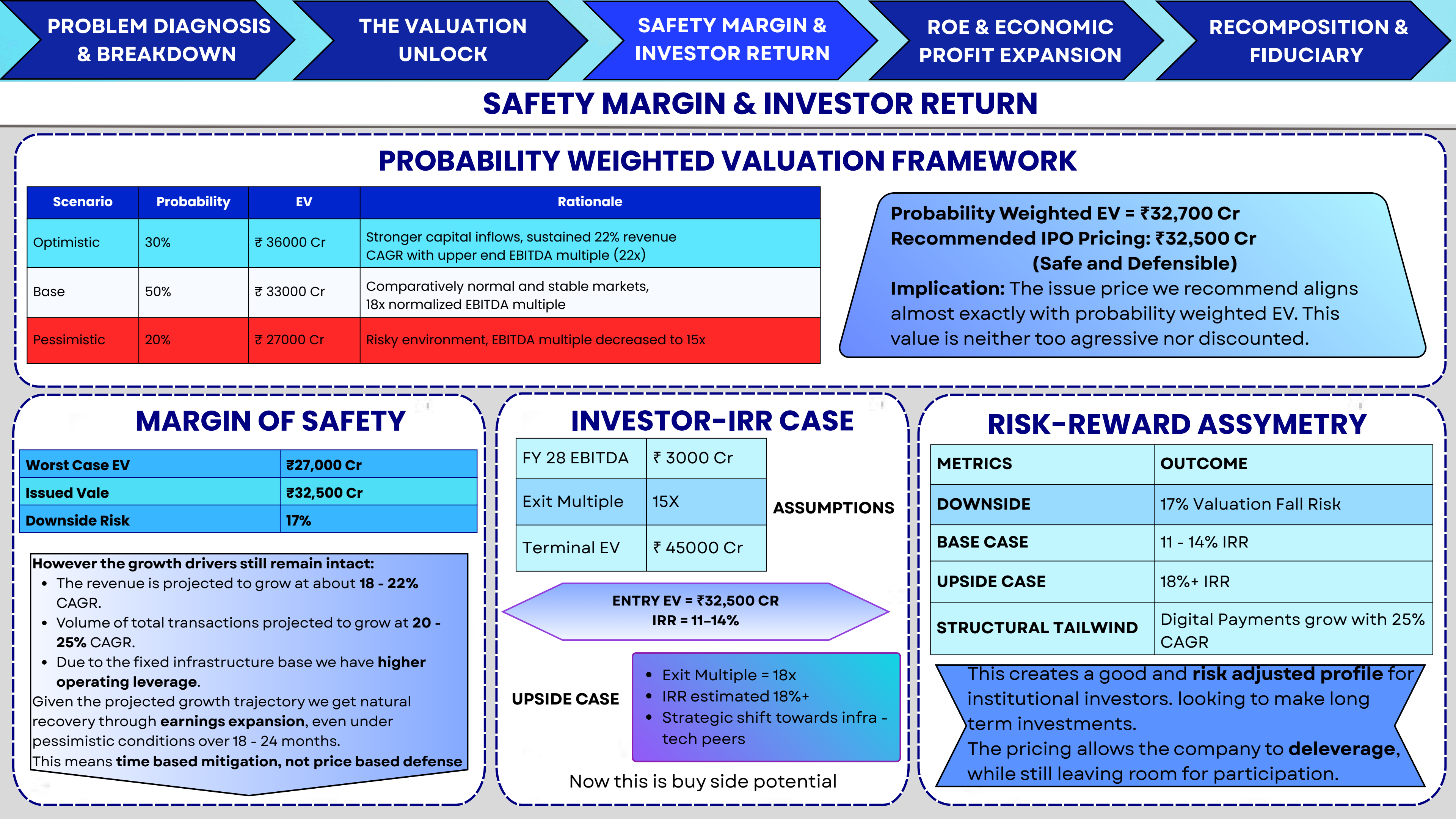
An 80 bps reduction in WACC increases terminal value disproportionately.

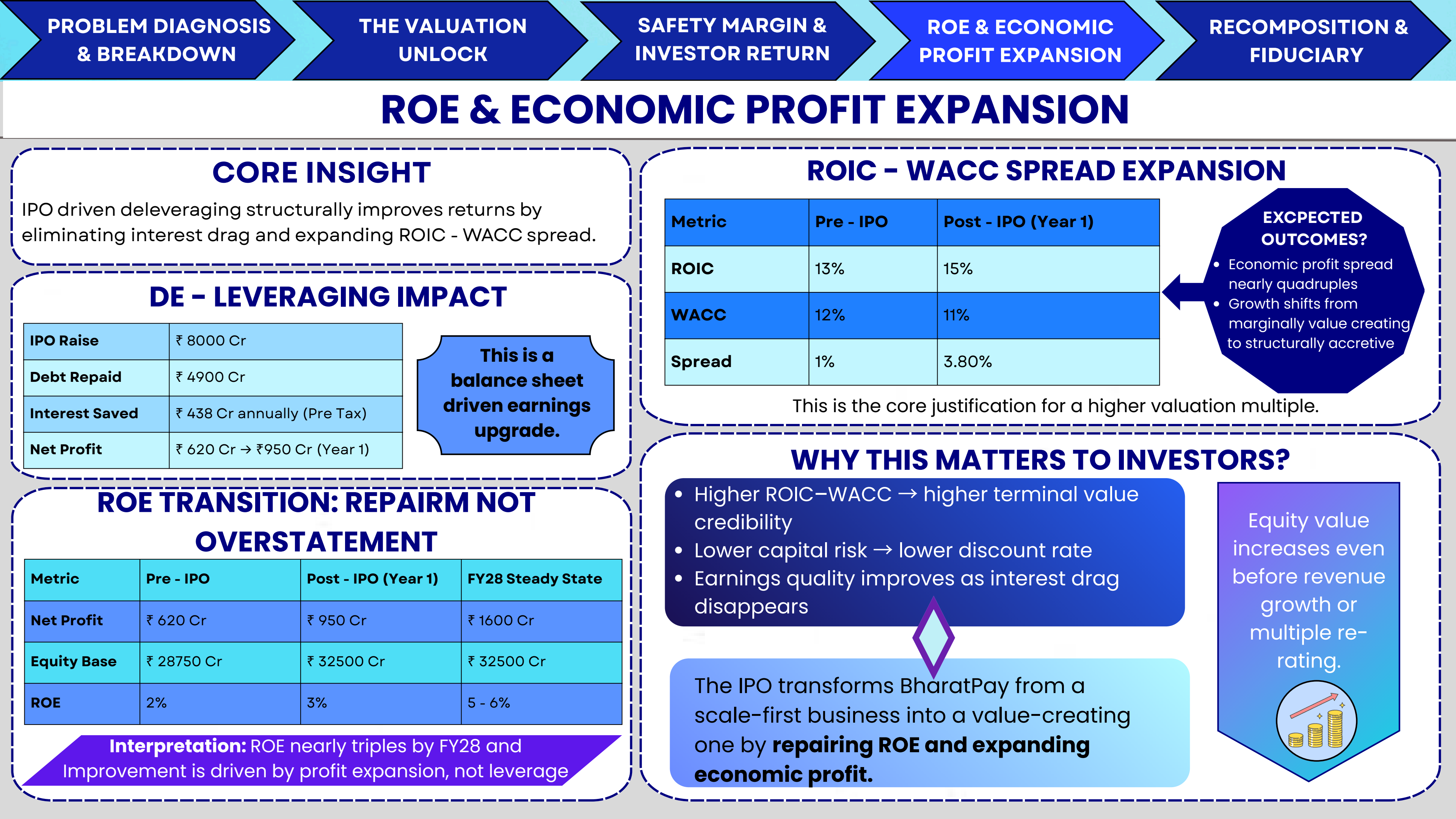
Terminal value: 11-12% INCREASE
Enterprise value: ₹33000 Cr → ₹35500 Cr

VALUATION ANCHORING & PRICING DISCIPLINE

RECOMMENDED IPO VALUATION: ₹32500

- Below intrinsic value post - WACC compression
- Provides downside protection
- Leaves upside for public market investors





RECOMPOSITION & FIDUCIARY

CORE THESIS

BharatPay's IPO is a capital allocation decision that converts operating scale into durable economic profit through mix optimization, balance-sheet de-risking, and multiple regime transition.

BUSINESS MODEL RECOMPOSITION: PAYMENTS UTILITY → FINTECH PLATFORM

CURRENT STATE

- Revenue concentration in low multiple, regulator exposed transaction economics (54%)
- EBITDA profile constrained by throughput linked monetization

STRATEGIC SHIFT

- Revenue concentration in low multiple, regulator exposed transaction economics (54%)
- EBITDA profile constrained by throughput linked monetization

SECOND ORDER EFFECTS

- Margin uplift via operating leverage
- Reduced regulatory beta, higher stability
- Higher revenue visibility and cash flow duration

MULTIPLE REGIME TRANSITION: FROM THROUGHPUT TO PLATFORM ECONOMICS

The pivot is **not about growth acceleration**

It is about **re-rating eligibility**.

Dimension	Pre - Pivot	Post - Pivot
Revenue Quality	Volume - Linked	Subscription/usage based
Margin Ceiling	28%	45%
Valuation Anchor	Payment Comps	Platform/infa-tech comps
Cash Flow Profile	Cyclical	Predictable, Scalable

RISK REPRICING

- IPO eliminates ₹4900 Cr of balance sheet leverage
- Removes refinancing and downgrade convexity
- Compresses WACC by 80 bps
- Expands ROIC – WACC spread from 1% → 4%

This re - prices equity risk and structurally increases terminal value.



FIDUCIARY ASSESSMENT

Delay Scenario

- Ongoing ₹438 Cr annual interest leakage
- Elevated probability of credit rating migration

VS

Proceed Scenario

- Positive NPV from deleveraging
- Immediate earnings accretion

FINAL DETERMINATION

- This pricing internalizes downside risk
- Preserves public market upside
- Satisfies fiduciary duty through **value maximization**, not market timing
- This IPO is not about accessing capital, it is about re-engineering the risk return architecture of the firm
- Will proceed with IPO at ₹32500 Cr valuation

APPENDIX

1. Core DCF Assumptions

Base Year (FY24)

- Revenue: ₹5,480 Cr
- EBITDA: ₹1,640 Cr (30%)
- EBIT Margin (assumed): 24%
- Tax Rate: 25%
- Capex (3 yrs cumulative): ₹6,000 Cr
- Working Capital: Stable at ~8–10% of revenue

Growth Assumptions

- Revenue CAGR (FY24–FY28): 20%
- Terminal Growth: 4%
- Exit EBITDA Margin (FY28): 32–34% (mix shift benefit)

2. Free Cash Flow to Firm (FCFF) Framework

$FCFF = EBIT(1-T) + \text{Depreciation} - \text{Capex} - \Delta NWC$
 $FCFF = EBIT(1-T) + \text{Depreciation} - \text{Capex} - \Delta NWC$

Illustrative FY28 Snapshot

- Revenue $\approx$ ₹11,350 Cr
- EBITDA (33%) $\approx$ ₹3,000 Cr
- EBIT $\approx$ ₹2,400 Cr
- NOPAT $\approx$ ₹1,800 Cr
- Maintenance Capex $\approx$ ₹900 Cr
- Stable NWC impact minimal

Normalized FCFF $\approx$ ₹1,200–1,300 Cr

4. WACC Sensitivity (Key Defense Grid)

WACC ↓ / g →	3%	4%	5%
10.80%	₹36,800 Cr	₹39,200 Cr	₹42,500 Cr
11.20%	₹31,500 Cr	₹33,000 Cr	₹35,000 Cr
11.80%	₹27,800 Cr	₹29,000 Cr	₹30,500 Cr

80 bps WACC compression alone creates **₹2,000–2,500 Cr value delta**.

3. Terminal Value Calculation

$TV = FCFF_{FY28} \times (1+g) / WACC - g$
 $TV = FCFF_{FY28} \times (1+g) / WACC - g$

Using:

- FCFF = ₹1,250 Cr
- g = 4%
- WACC (Post IPO) = 11.2%

$TV \approx 1,250 \times 1.04 / 0.112 - 0.04$
 $TV \approx 0.112 - 0.04$
 $1,250 \times 1.04$
 $TV \approx ₹18,000 - 19,000 \text{ Cr}$
(PV adjusted $\approx$ ₹24,000–25,000 Cr contribution to EV)
 $TV \approx ₹18,000 - 19,000 \text{ Cr}$
(PV adjusted $\approx$ ₹24,000–25,000 Cr contribution to EV)
Total Enterprise Value $\approx$ ₹33,000 Cr (Base Case)
Matches slide valuation band.

6. Rating Downgrade Scenario (Stress Case)

If leverage rises $>4.5\times$:

- Cost of Debt $\rightarrow$ 11%
- Interest burden $\rightarrow$ ₹550–580 Cr
- Coverage falls $<3\times$
- WACC rises to $\sim 12.6\%$

EV impact from 60 bps WACC increase:

Value erosion $\approx$ ₹2,000 Cr

This quantifies second-order downgrade risk.

5. Leverage vs Deleveraging Math

Pre IPO

- Interest: ₹438 Cr
- After-tax drag $\approx$ ₹330 Cr
- Implied equity value suppression (at 12% CoE):
 $3300.12 \approx ₹2,750 \text{ Cr}$
 $0.12330 \approx ₹2,750 \text{ Cr}$

That is the hidden deleveraging unlock.

9. Margin of Safety Framing

Worst Case EV: ₹27,000 Cr

IPO Price: ₹32,500 Cr

Downside: 17%

But:

- EBITDA growth visibility strong
 - Debt removed
 - Multiple floor supported by public comps
- Risk-adjusted asymmetry acceptable.

7. Investor IRR Backsolve

Entry EV: ₹32,500 Cr

FY28 EV (15x EBITDA): ₹45,000 Cr

$IRR = (45,000 / 32,500)^{1/4} - 1$
 $IRR = (32,500 / 45,000)^{1/4} - 1$
 $\approx 11-14\%$

At 18x multiple:

EV $\approx$ ₹54,000 Cr

IRR $\approx 18-19\%$

This clears institutional hurdle rates.

8. ROIC calculation mechanics

$ROIC = NOPAT / \text{Invested Capital}$
 $ROIC = \text{Invested Capital} / NOPAT$

Pre IPO

- NOPAT $\approx$ ₹1,200 Cr
- Invested Capital $\approx$ ₹9,200 Cr
- $\rightarrow$ ROIC $\approx 13\%$

Post IPO (Deleveraged + Margin Expansion)

- NOPAT $\approx$ ₹1,800 Cr
- Invested Capital $\approx$ ₹12,000 Cr
- $\rightarrow$ ROIC $\approx 15\%$

Spread Expansion:

- From 1% $\rightarrow$ 3.8%
- Economic Profit nearly 4x

